Customer Cohort & Retention Analysis

Subtitle: Strategic Insights for NFX Digital

13 May 2026

Consulting and solutions flow:

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Problem Statement

Background

- NFX is a **digital-first professional services organization** serving customers across multiple **geographies, services, and segments**
- The company has seen **steady growth in customer acquisition and platform usage**
- However, customer engagement and activity levels **vary significantly across different customer groups**

Business Problem

- Despite growth, **customer retention and repeat engagement are inconsistent**
- Lack of visibility into **customer behaviour after onboarding**
- Unable to clearly identify:
  1. **Loyal and high-value customer cohorts**
  2. **Customer lifecycle and churn patterns**
  3. **Best-performing services, locations, and acquisition channels**
- This results in **limited ability to optimize retention and growth strategies**

Objective

- Perform **customer cohort and retention analysis using Power BI**
- Track **customer activity (DAU, WAU, MAU) and engagement trends**
- Measure **retention, churn, and lifecycle behaviour**
- Identify **high-value customer segments and revenue contribution**
- Enable **data-driven decisions** to improve retention and long-term business growth

Executive Summary

The dashboard delivers a comprehensive view of customer retention, engagement patterns, revenue performance, and cohort trends through interactive lifecycle analysis

Key Findings

- High-engagement customers drive majority of revenue contribution
- Cross-product customers generate higher revenue and customer value
- Enterprise segment shows higher ARPU and stronger retention
- Retention and churn vary significantly by region and acquisition channel
- Customer acquisition is steady, but retention remains the key challenge

Key Insights

- Customer engagement and retention decline after initial onboarding stages
- Early-stage activation strongly impacts long-term retention
- Significant drop-offs observed in initial lifecycle periods
- Customer behaviour varies across segments, service tiers, and acquisition channels
- Long-term engagement consistency differs across cohorts despite steady acquisition

Business Context

Existing customer reporting provided limited visibility into long-term retention behaviour, customer engagement consistency, and acquisition channel effectiveness

1 Current Reporting Approach

- Business performance was primarily evaluated using overall customer and revenue metrics
- Reporting focused mainly on short-term revenue trends without lifecycle retention visibility
- Customer engagement tracking lacked detailed cohort-based behavioural analysis
- Limited visibility existed into churn patterns, customer activation, and cross-product adoption behaviour

2 Why This Created Concern

- Customer acquisition growth alone did not indicate long-term customer loyalty or retention strength
- Leadership lacked visibility into which customer segments generated sustainable revenue value
- Limited insight into onboarding engagement reduced understanding of customer lifecycle performance
- Expansion opportunities across service tiers, acquisition channels, and multi-product customers could not be identified effectively

Challenges Faced

Data & Modelling Challenges

- Difficulty in **understanding and structuring raw data** from multiple tables
- Designing the **data model (Fact, Dimension, Calendar)** with correct relationships
- Handling **data quality issues** like missing values and inconsistencies
- Ensuring accurate **date alignment for time-based analysis**

Analysis & Implementation Challenges

- Implementing correct **cohort logic and tracking users over time**
- Building accurate **retention, churn, and lifecycle metrics** using DAX
- Creating **DAU, WAU, MAU calculations** with proper aggregation
- Debugging **incorrect results and validation issues**
- Managing **performance with multiple measures and large data**
- Converting analysis into **simple, business-friendly insights**

Key Findings

Retention Weakness: Drops after **Month 3**, stabilizing at **30% by Month 12**

Churn Pressure: **33.77% churn**, **~3K customers lost**

Engagement Distribution: Even split across **High, Medium, Low** -> weak differentiation

Revenue Stability: Revenue steady at **8-9M**, but **ARPU (10.84K)** driven by high-engagement users

Channel Effectiveness: **LinkedIn & Google Ads** perform best; **Referral/Partner** underperform

Service Tier Loyalty: **Enterprise customers** show better retention than Basic

Reactivation Potential: **4.5K customers reactivated monthly**

Onboarding Challenge: **Time to First Action 480 days**

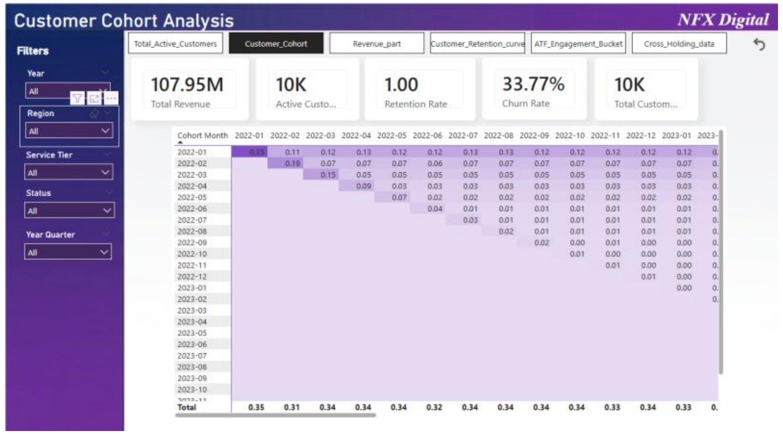
Cross-Holding Opportunity: Multi-product users show **higher revenue & retention**

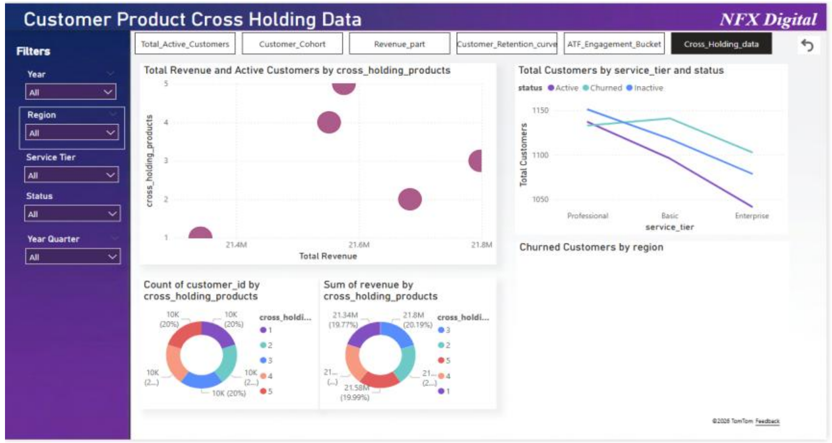
Lifecycle Gap: Early-stage drop-offs reduce long-term value

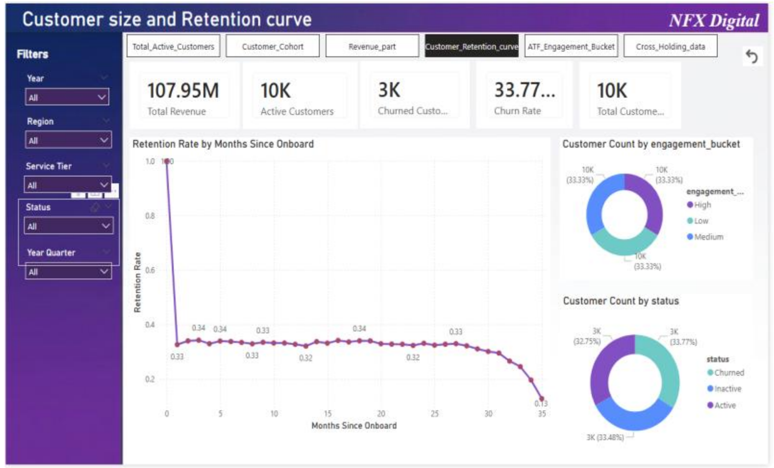
Engagement Impact: Higher engagement -> **higher revenue & retention**

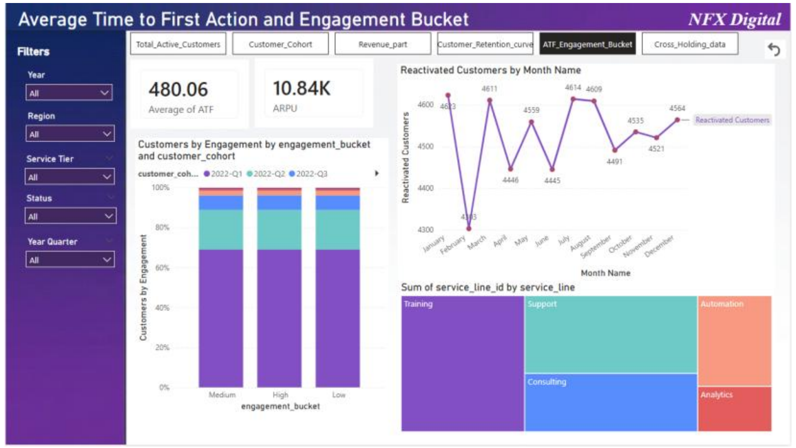
Visualizations

The dashboard enables market benchmarking, customer visibility, growth monitoring, and strategic decision-making.









Key Metrics

10K Total Custom...	107.9... Total Revenue

10K Active Customers	10.84K ARPU	33.77% Churn Rate

480.06
Average of ATF

Insights

Total Customers – 10K
Represents the total number of customers acquired on the platform, indicating overall **business growth and customer base size**

Total Revenue – ~107.9M
Shows the total revenue generated from customers, reflecting **overall financial performance and business scale**

Active Customers – 10K
Indicates the number of customers actively engaging with the platform, helping measure **current user activity and engagement level**

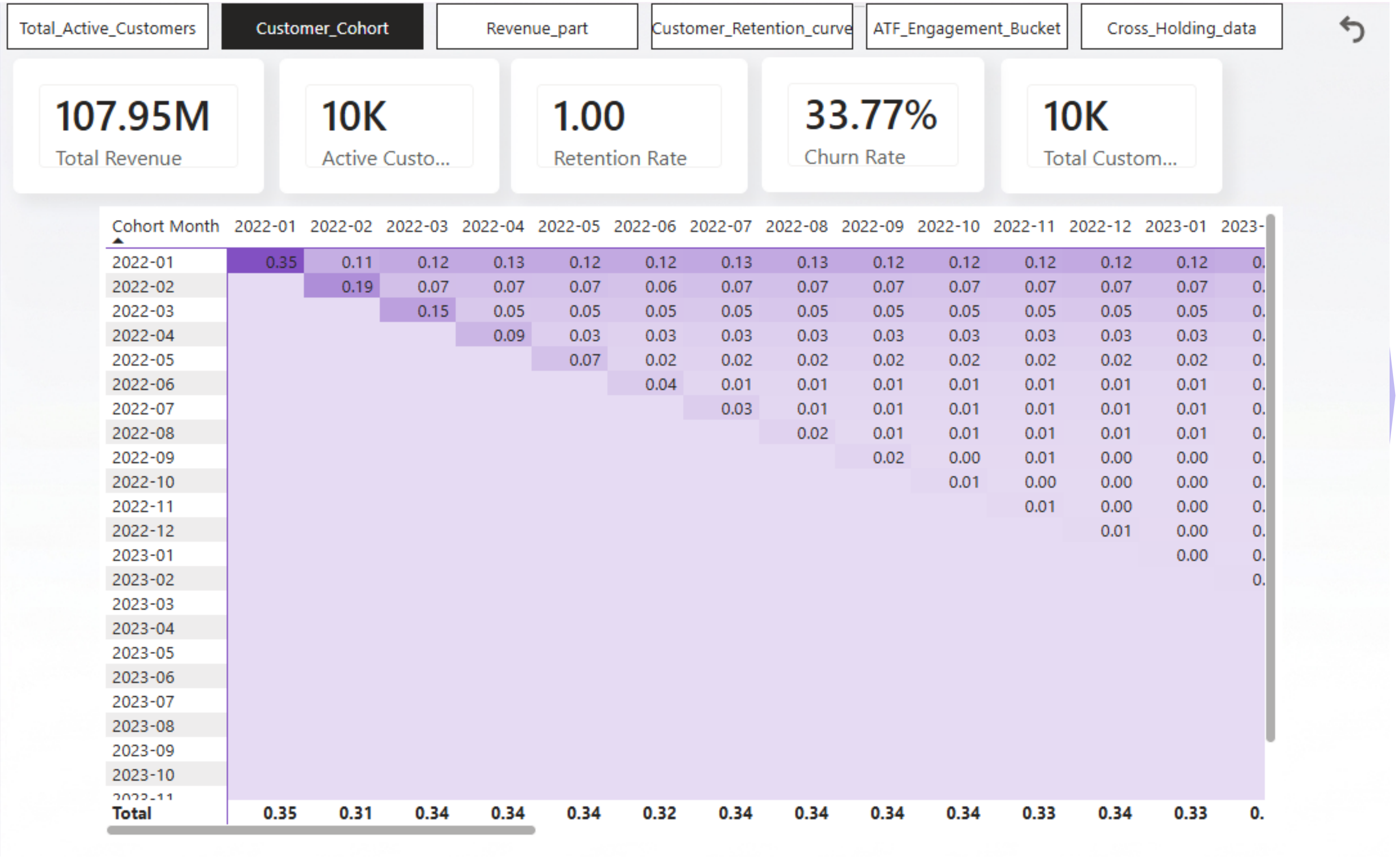
ARPU – 10.84K *(Average Revenue Per User)*
Represents the average revenue generated per customer, highlighting **customer value and monetization efficiency**

Churn Rate – 33.77%
Shows the percentage of customers who became inactive, indicating **customer retention challenges and loss rate**

Average Time to First Action – 480 Days
Measures the average time taken by a customer to perform their first meaningful action, highlighting **onboarding delays and engagement friction**

Customer Cohort Retention Analysis

Customer Cohort Matrix



Cohort Month	2022-01	2022-02	2022-03	2022-04	2022-05	2022-06	2022-07	2022-08	2022-09	2022-10	2022-11	2022-12	2023-01	2023-
2022-01	0.35	0.11	0.12	0.13	0.12	0.12	0.13	0.13	0.12	0.12	0.12	0.12	0.12	0.
2022-02		0.19	0.07	0.07	0.07	0.06	0.07	0.07	0.07	0.07	0.07	0.07	0.07	0.
2022-03			0.15	0.05	0.05	0.05	0.05	0.05	0.05	0.05	0.05	0.05	0.05	0.
2022-04				0.09	0.03	0.03	0.03	0.03	0.03	0.03	0.03	0.03	0.03	0.
2022-05					0.07	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.02	0.
2022-06						0.04	0.01	0.01	0.01	0.01	0.01	0.01	0.01	0.
2022-07							0.03	0.01	0.01	0.01	0.01	0.01	0.01	0.
2022-08								0.02	0.01	0.01	0.01	0.01	0.01	0.
2022-09									0.02	0.00	0.01	0.00	0.00	0.
2022-10										0.01	0.00	0.00	0.00	0.
2022-11											0.01	0.00	0.00	0.
2022-12												0.01	0.00	0.
2023-01													0.00	0.
2023-02														0.
2023-03														
2023-04														
2023-05														
2023-06														
2023-07														
2023-08														
2023-09														
2023-10														
2023-11														
Total	**0.35**	**0.31**	**0.34**	**0.34**	**0.34**	**0.32**	**0.34**	**0.34**	**0.34**	**0.34**	**0.33**	**0.34**	**0.33**	**0.**

Findings

Insights

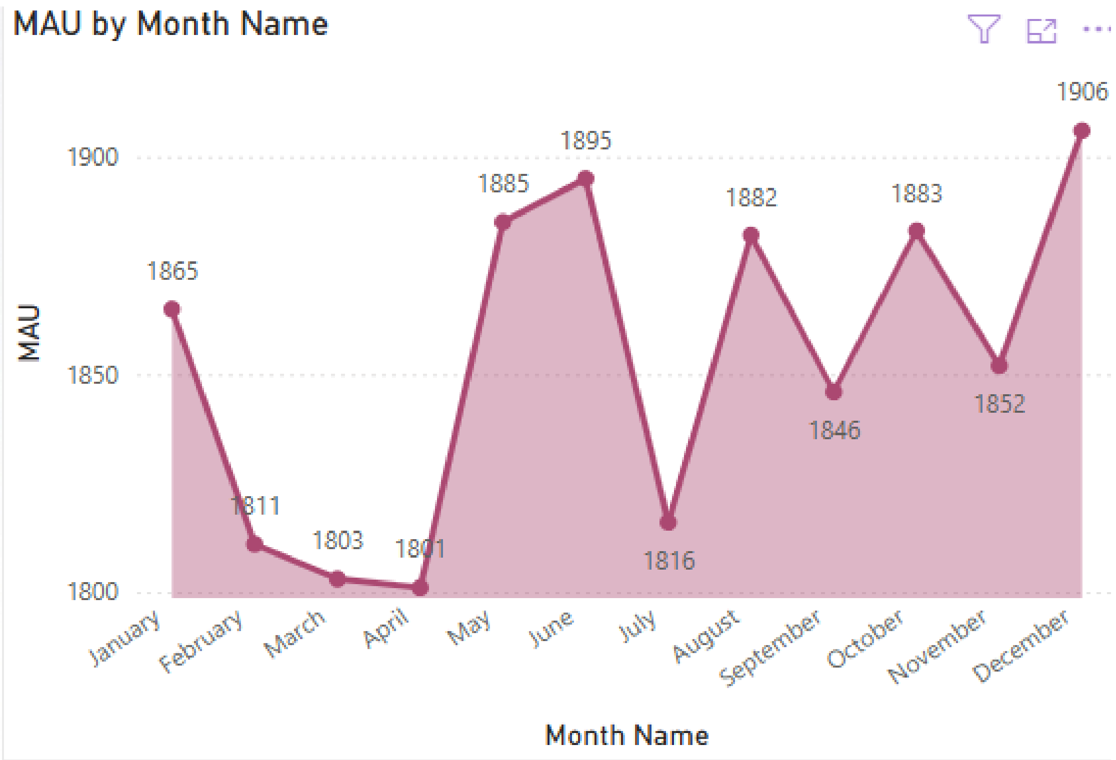
- Retention drops from **~35% to <15% by Month 2–3** → early disengagement
- Long-term retention remains very low (**~1–5%**)
- Churn rate is high at **33.77%**
- All cohorts show similar trend → **system-wide retention issue**
- Revenue (~107.95M) driven by **short-term/high-value users**
- High **ATF (~480 days)** affecting early engagement

Recommendations

- Improve **onboarding** to reduce ATF
- Focus on **first 30–60 days engagement**
- Launch **retention campaigns for early users**
- Improve **low-performing channels/segments**
- Use **reactivation strategies** to recover churned users

Active Customers

Monthly Active Users



Key Insights & Key Findings

Key Insights

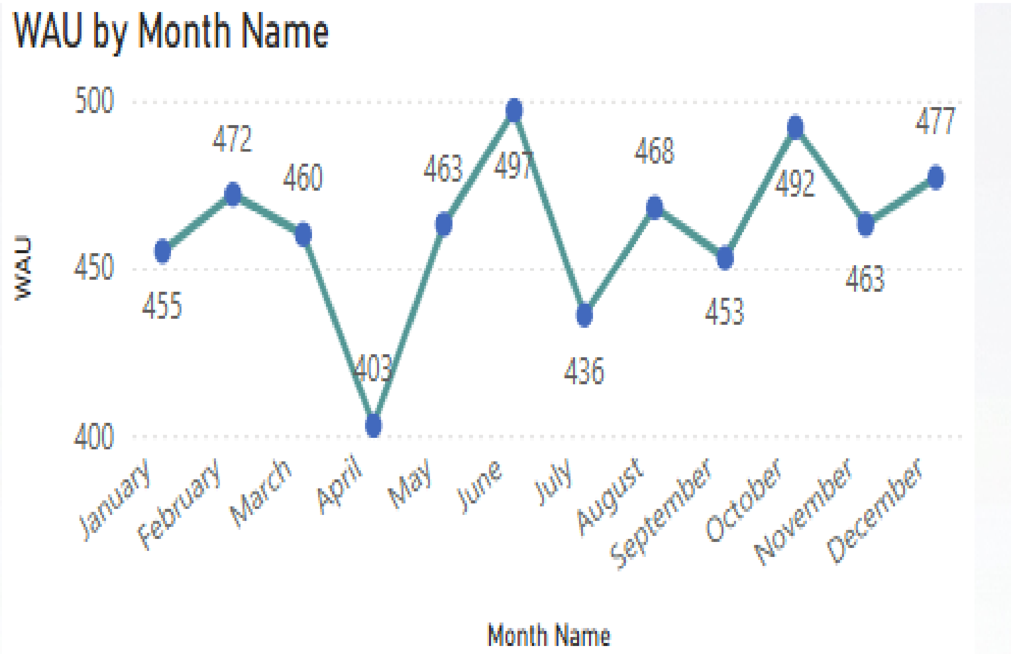
- Users are **not active consistently every month**
- Activity **drops in Feb–April and July**
- Activity **increases in May, June, and December**
- Overall, users stay around **1800–1900 (stable base)**

Key Findings

- Engagement is **unstable - needs improvement**
- Low months show **risk of churn (losing users)**
- High months show **what works - can be repeated**
- Business has **stable users but lacks strong growth**

Active Customers

Weekly Active Users



Key Insights & Key Findings

Key Insights

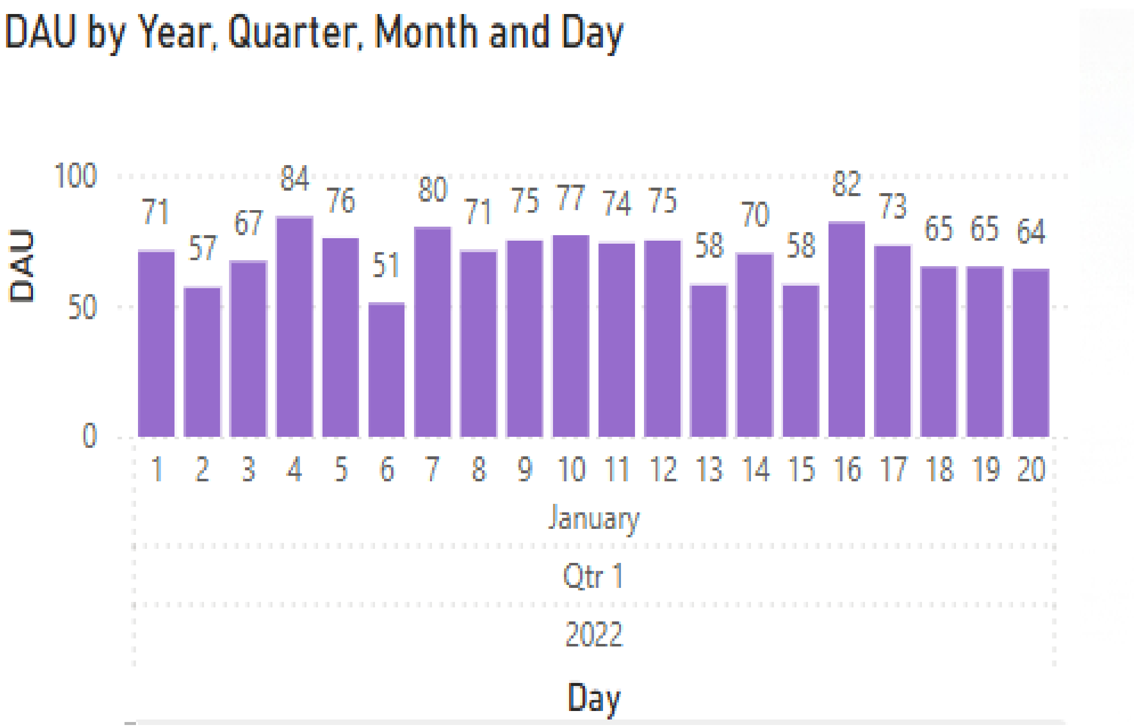
- Weekly engagement shows frequent ups and downs
- Some weeks/months experience clear drops in activity
- Engagement improves during specific peak periods
- A steady core group of users remains active

Key Findings

- Weekly engagement is inconsistent and needs stabilization
- Low activity periods indicate risk of churn
- Peak periods show potential for improving engagement strategies
- Business has stable users but lacks consistent weekly engagement

Active Customers

Daily Active Users



Key Insights & Key Findings

Key Insights

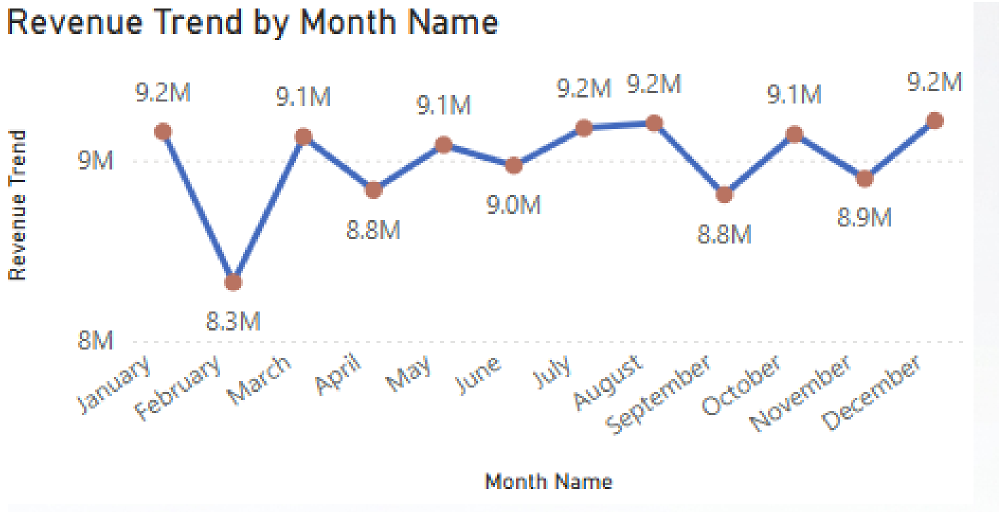
- Daily active users (**DAU**) vary across days -**not consistent**
- Some days show **low activity**, while others show **sudden spikes**
- User activity is **fluctuating frequently day-to-day**
- A **base level of daily users is maintained**

Key Findings

- Daily engagement is **unstable and needs improvement**
- Low activity days indicate **risk of short-term drop-off**
- High activity days show **opportunities to boost engagement**
- Business has **steady users but lacks consistent daily usage**

Revenue Trends

Monthly Revenue Trend



Key Insights & Key Findings

Key Insights

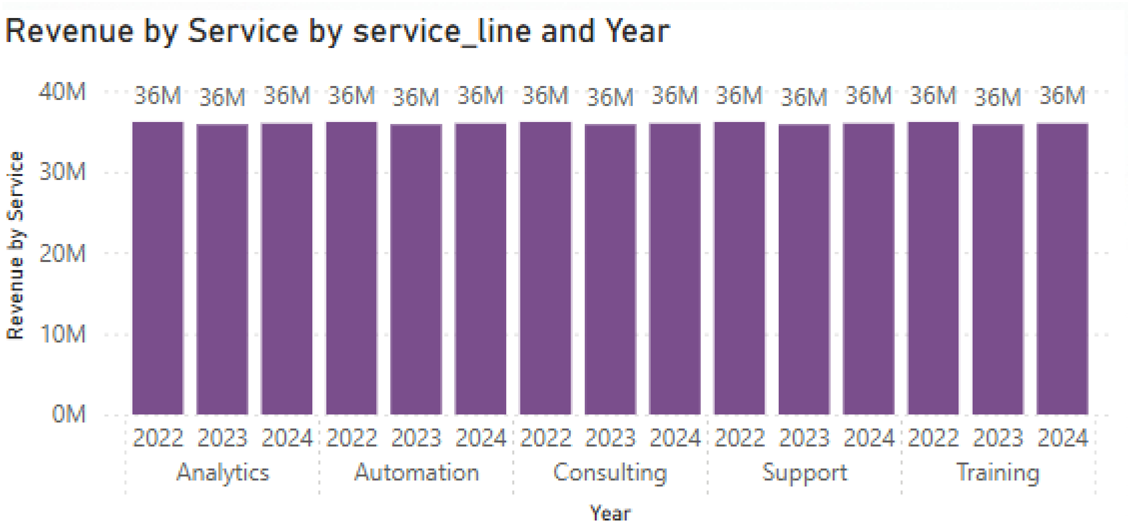
- Revenue remains **mostly stable across months**
- Small fluctuations occur with **some low and high periods**
- Few months show **slight dips in performance**
- Overall trend shows **consistent revenue generation**

Key Findings

- Business has **stable revenue flow**
- Revenue is **not heavily impacted by monthly fluctuations**
- Low months indicate **minor performance gaps**
- Strong consistency shows **reliable customer revenue base**

Revenue Trends

Revenue By Service line and Year



Key Insights & Key Findings

Key Insights

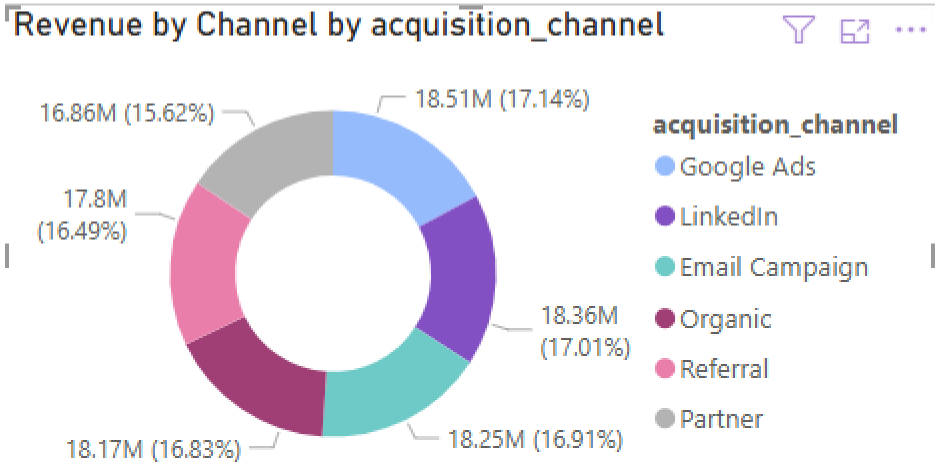
- **Key Insights (Behaviour)**
- Revenue is **evenly distributed across all services**
- No single service shows **significant dominance**
- All services contribute **similar revenue over time**
- Performance is **consistent across years**

Key Findings

- **Key Findings (Business Meaning)**
- Business has a **well-balanced service portfolio**
- No over-dependence on a single service
- Opportunity to **differentiate and grow specific services**
- Stable performance across services reduces **business risk**

Revenue Trends

Revenue By Channel by acquisition Channel



Key Insights & Key Findings

Key Insights

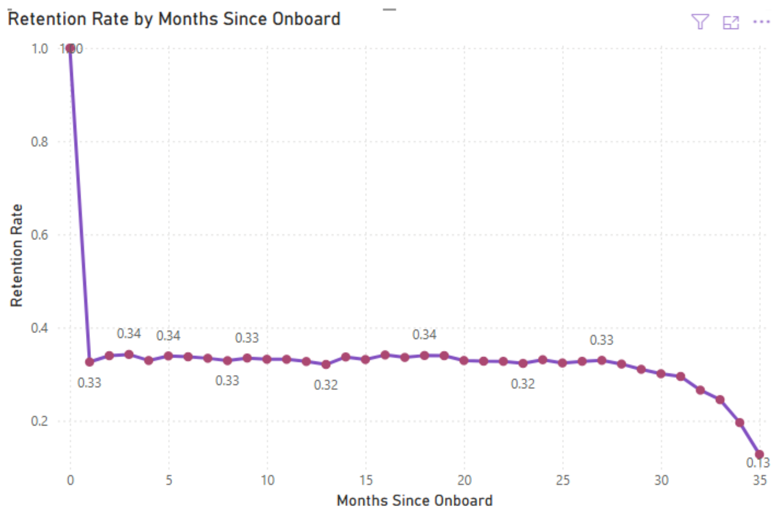
- Revenue is **fairly evenly split across all channels**
- No channel clearly dominates contribution
- All channels bring **similar levels of revenue**
- Channel performance is **balanced overall**

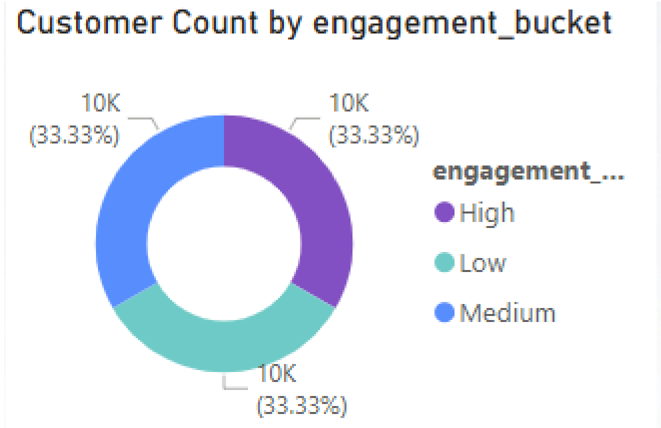
Key Findings

- Business is **not dependent on one channel**
- Opportunity to **optimize high-performing channels further**
- Underperforming channels can be **improved for better ROI**
- Balanced channels support **steady customer acquisition and revenue**

Retention Analysis

Retention Curve and Engagement analysis





Key Insights & Key Findings

1. Retention Curve

Key Insights (Behaviour)

- Retention drops sharply after onboarding
- Stabilizes for a period, then declines further over time
- Long-term retention is very low

Key Findings (Business Meaning)

- Strong early-stage churn issue
- Customers are not retained long-term
- Need focus on early engagement & retention strategies

2. Engagement Distribution (Donut Chart)

Key Insights :

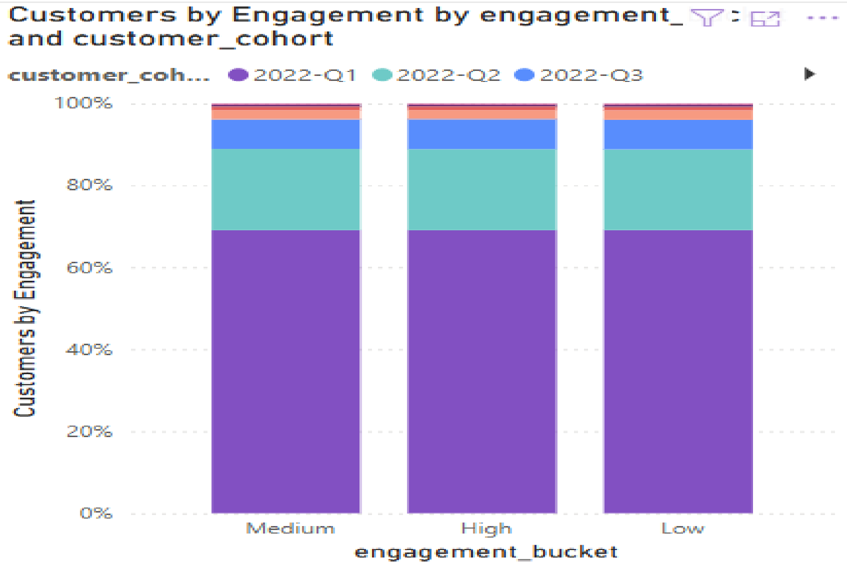
- Customers are evenly split across High, Medium, Low engagement
- No strong shift toward high engagement users

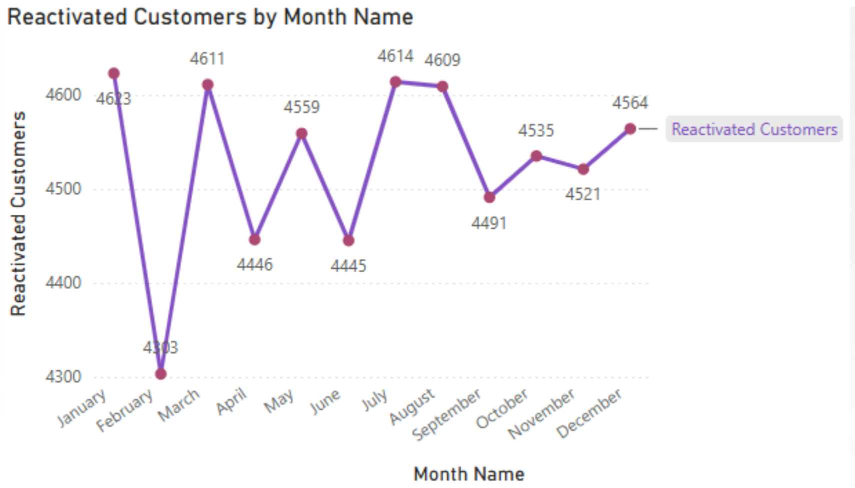
Key Findings (Business Meaning)

- Engagement strategy is not differentiating users effectively
- Opportunity to increase high-engagement customers
- Balanced distribution shows untapped engagement potential

Customer Retention Analysis

Retention Curve and Engagement analysis Based on Bucket





Key Insights & Key Findings

1. Customer Engagement (by Cohort)

Key Insights

- Majority of customers fall under medium engagement levels
- High and low engagement segments are smaller but consistent
- Engagement distribution is similar across cohorts

Key Findings

- Most users are moderately engaged, not highly active
- Lack of strong high-engagement customer base
- Opportunity to convert medium users to high engagement

2. Reactivated Customers (Monthly)

Key Insights

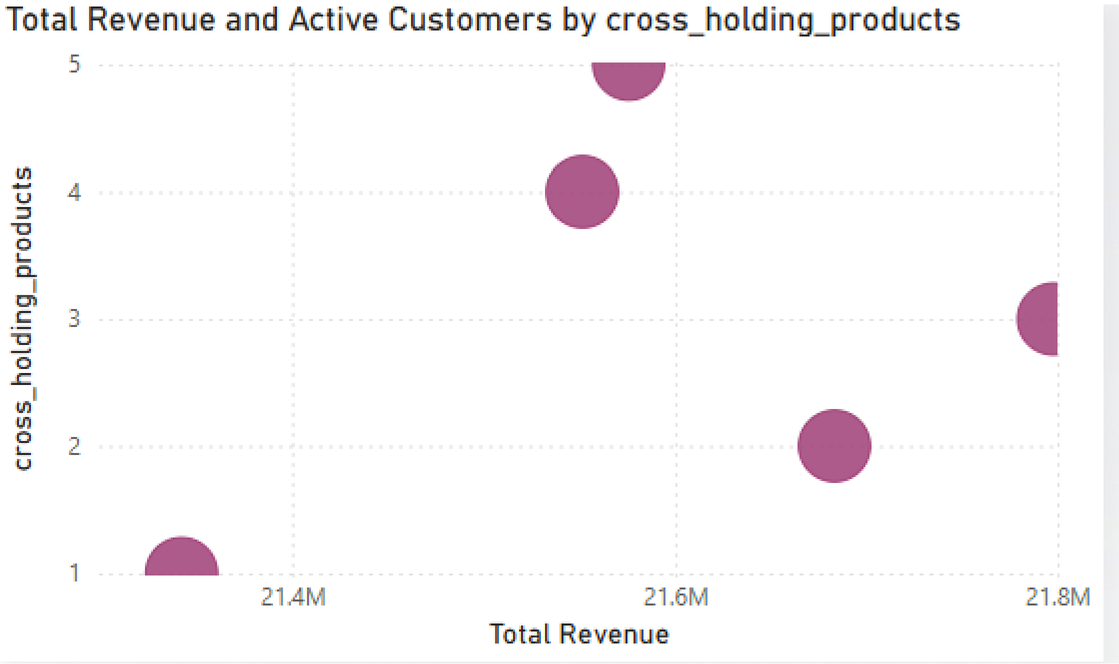
- Reactivated users remain consistently high across months
- Some months show slight dips and peaks
- Overall trend shows stable reactivation activity

Key Findings

- Strong opportunity to recover inactive customers
- Reactivation efforts are working but can be improved
- Helps maintain overall customer base despite churn

Cross Holding Service Analysis

Cross Holding vs Revenue (Bubble Chart) and



Key Insights & Key Findings

Cross Holding vs Revenue (Bubble Chart)

Key Insights

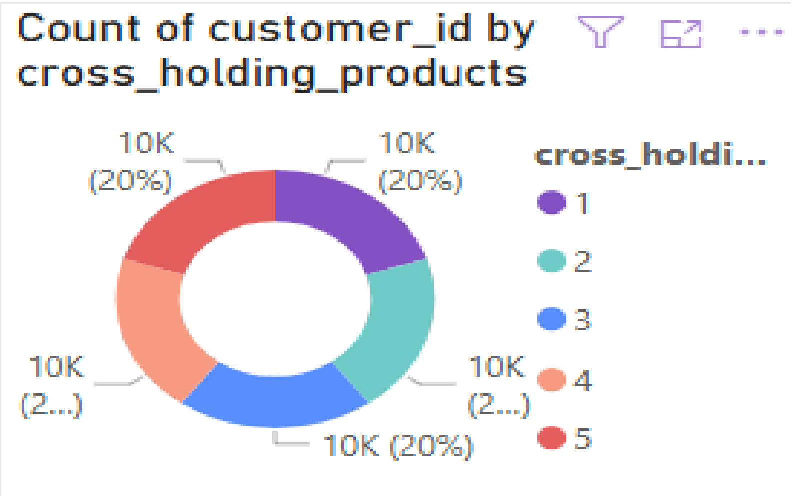
- Customers with more product holdings show increasing revenue contribution
- Revenue generally grows as cross-holding increases
- Some variation exists, but trend is overall positive

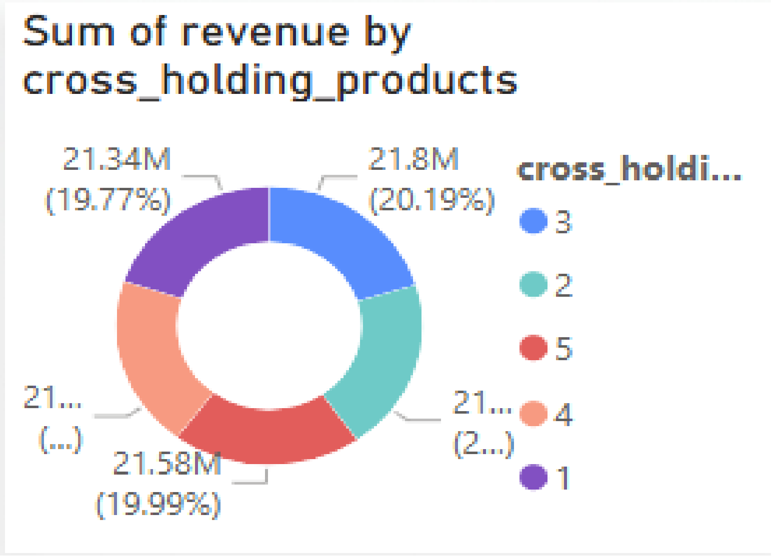
Key Findings

- Cross-selling directly increases customer value
- Customers using more products are more valuable
- Strong opportunity to promote multi-product adoption

Cross Holding Service Analysis

Customers vs Cross Holding Products & Revenue by Cross Holding Products





Key Insights & Key Findings

1. Customers by Cross Holding Products (Donut Chart)

Key Insights

- Customers are evenly distributed across different product counts
- No group (1–5 products) dominates
- Balanced spread of single and multi-product users

Key Findings

- Business has a diverse customer base
- No heavy reliance on only multi-product customers
- Opportunity to convert single-product users to multi-product

2. Revenue by Cross Holding Products (Donut Chart)

Key Insights

- Revenue is fairly evenly distributed across product groups
- All product-count segments contribute similar revenue levels
- Multi-product customers show slightly stronger contribution

Key Findings

- Revenue does not depend on a single customer group
- Multi-product customers have higher value potential
- Cross-selling can help increase overall revenue consistently

Strategic Recommendations

Recommended actions to improve customer retention, engagement, and revenue performance.

Improve Early Customer Onboarding

Reduce Time to First Action (480 days) by introducing guided onboarding

Focus on first 30–60 days engagement to minimize early churn

Enhance Engagement Levels

Convert medium & low engagement users into high engagement

Introduce features, nudges, and incentives to drive regular usage

Expand Cross-Selling Opportunities

Promote multi-product adoption to increase customer value

Bundle services to improve retention and revenue growth

Strengthen Retention Strategies

Target users in initial lifecycle stages where drop-offs are high

Launch personalized retention campaigns for at-risk customers

Optimize Acquisition Channels

Focus on high-performing channels (LinkedIn, Google Ads)

Improve or reduce spend on low-ROI channels (Referral/Partner)

Business Value & Future Considerations

How the solution enables data-driven customer retention and long-term business growth

Customer Retention Visibility
Enable continuous monitoring of cohort retention, churn trends, and lifecycle behaviour to identify drop-off points early

Revenue Optimization
Understand ARPU, cohort revenue contribution, and cross-product impact to improve monetization strategies

Future Enhancements
Implement predictive churn modelling
Add customer lifetime value (CLV) forecasting
Enhance real-time dashboards for proactive decisions

Engagement Intelligence
Track DAU, WAU, MAU and engagement patterns to improve customer activity and reduce inactivity

Customer Segmentation Insights
Identify high-value customers (enterprise, high-engagement, multi-product users) for targeted retention and growth

THANK YOU

May 2026